

Bus 719

Session 3

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Organizational Structure

- Organizational structure is the division and coordination of work
- Different ways of dividing and coordinating work have different impacts

Coordinating Mechanisms

- How work is coordinated is the KEY cost of organizing – inherent tradeoff between efficiency and organizational adaptability

- Standardization of skills
- Standardizations of work processes
- Standardization of outputs
- Direct Supervision
- Mutual Adjustment

Cheapest



Most
expensive

Hardest
to Adapt



Easiest
to Adapt

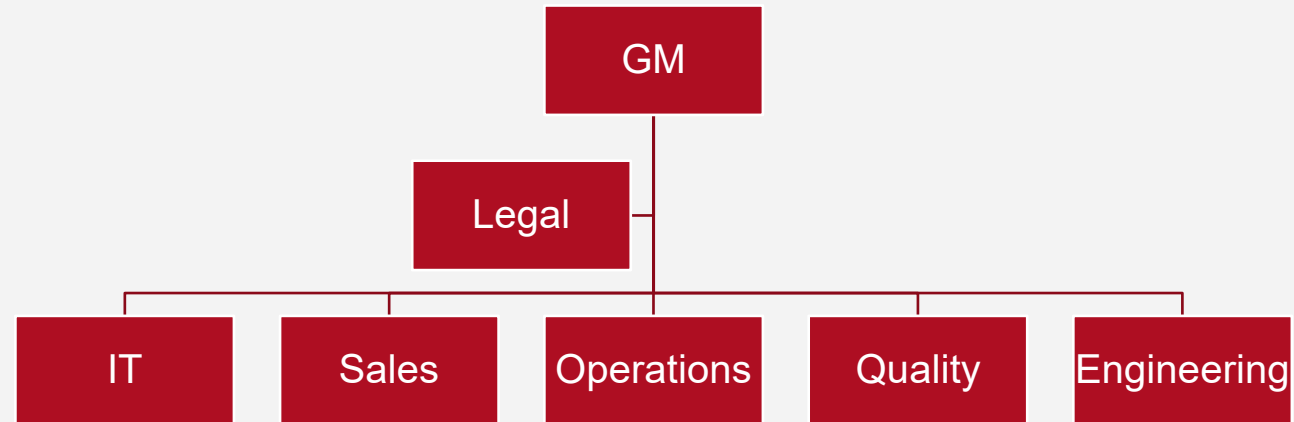
Unit Grouping

- Unit Grouping is a central aspect of how organizations are designed
- Once an organization is too large to manage as a single group, people need to be grouped into units for administrative purposes.
- This designates formal reporting relationships, increases specialization and clarifies accountabilities.
- The basic rule of thumb is that communication and coordination occurs better within group boundaries than across boundaries.

- Groups have a natural tendency to identify themselves by differentiating from other groups, creating we-they dynamics and competition
- Grouping encourages coordination within the group at the expense of possible lack of coordination between groups
- Logic dictates that you group people who must manage critical interdependencies first
- Much of the action in organization restructuring is changing unit grouping

Functional Unit Grouping

grouping people by the function they perform



What are the strengths?

What are the drawbacks?

Functional Unit Grouping

grouping people by the function they perform

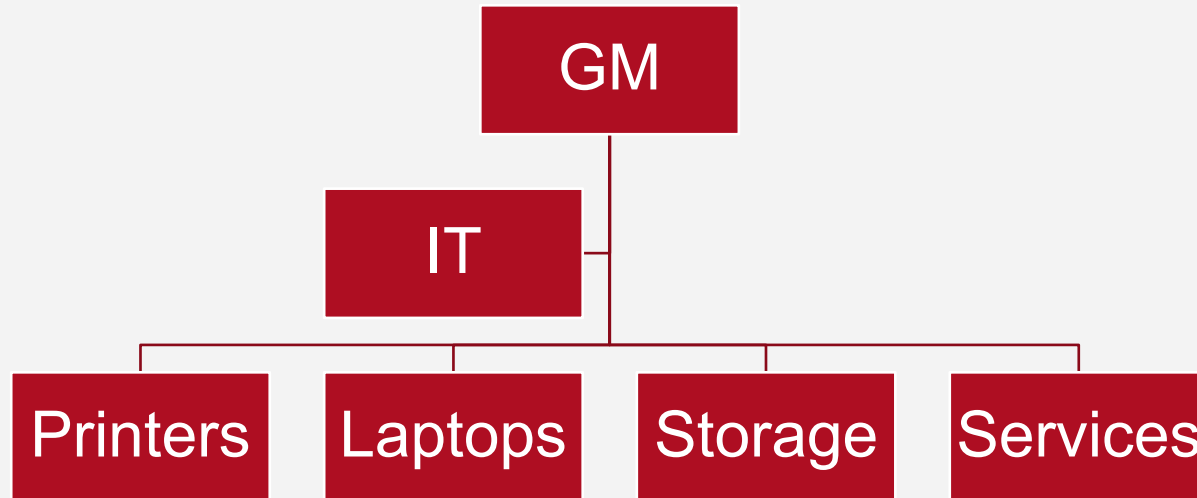
- Strengths
 - economies of scale
 - in-depth skill development
 - encourages professional orientation
 - faster diffusion of technical innovations
- Weaknesses
 - Fragmentation, conflict and poor integration
 - Lose sight of overall goals
 - Slow response to change
 - Requires Tops to manage lower level conflicts

- Uses

- When human resources are scarce
- When efficiency is the key strategic issue
- When the need for adaptability is low
- When the need for continuous development of specialized expertise is high
- When the need for coordination between functions is low

Product Unit Grouping

grouping people by the product or service they deliver



What are the strengths?

What are the drawbacks?

Product Unit Grouping

grouping people by the product or service they deliver

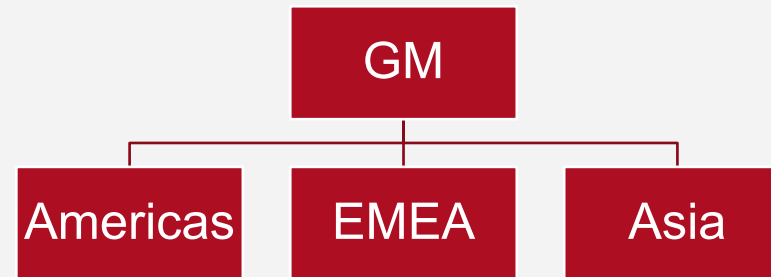
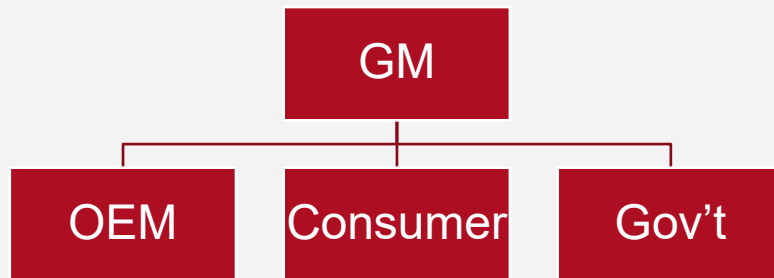
- Strengths
 - Greater focus on product and customer
 - Good coordination across different specialization's
 - Faster product innovation
 - Faster response to change
- Weaknesses
 - Lose economies of scale in functions
 - Reduces in-depth competence of specialists and can reduce their morale
 - Slower to diffuse functional innovations
 - Makes standardization across product lines difficult

- Uses

- When product innovation is the key strategic issue
- When the level of environmental change is medium
- When human resources are not scarce
- When products are relatively independent

Market Grouping

grouping people by the market they serve



What are the advantages?

What are the drawbacks?

Market Grouping

grouping people by the market they serve

- Strengths
 - Focuses on customers
 - Allows for integration across product lines
 - Contains interdependencies within relatively independent units
 - Faster at strategic change
- Weaknesses
 - Larger size makes it difficult to adapt to local conditions
 - Less innovation in specific products
 - moderate reduction in technical specialization
 - low diffusion of innovations across units

- Uses

- When groups of products are intertwined
- When the level of environmental change is medium to high
- When customer needs are the strategic issue
- When integration of products or technologies is needed to meet customer needs

Matrix Grouping

putting people in 2 groups at the same time

There are two very different kinds of matrix structures: **administrative matrix** and **project matrix**.

- Administrative Matrix Function by Region/Market

	SVP North America	SVP South America	SVP Europe	SVP Asia
CFO		VP Finance South America		
CMO		VP Marketing for South America		
CIO		VP IT South America		
CHRM		VP People and Talent South America		

Admin Matrix

- is an attempt to put both a functional and product or market or regional press on managers based on the theory that the better matched the design is to its environment, the more effective the organization. Design the competing values/polarities/strategic priorities into the organization's structure.
- Matrixed managers must be good at claiming, negotiating, giving and receiving authority
- both types of grouping must be similarly influential, authoritative, powerful
- has had poor success in America, but is a common form of organization at senior levels of large European companies

Project Matrix

	Chief Engineer Civil	Chief Engineer Mechanical	Chief Engineer Hydraulic
PM project 1	5	4.5	.5
PM project 2	4	4	2
PM project 3	3.5	3	1
Employee pools	15	12	4

- Advantages?
- Drawbacks?

Project Matrix

- Very common in engineering firms
- Pools of functional expertise combine and disband around specific projects
- Usually project management is itself a function with a boss
- Specialists report to both a functional manager and a project manager
- Individuals may be on more than one project at a time

Project Matrix

- Strengths
 - Can achieve a balance of functional and product emphases
 - Can balance specialization and product knowledge
 - Balances HR efficiencies and innovation
 - Flexible sharing of human resources
 - Able to quickly adapt to change
 - Functional innovations diffuse quickly

- Weaknesses

- Requires balanced power of functional and project leaders
- requires a great deal of coordination time
- requires higher level interpersonal and team skills
- can create peaks and valleys of productivity as teams form and disband
- dual authority can be stressful and frustrating
- project teams can lose sight of financial control
- same high performers wanted on all projects

- Uses
 - When flexible provision of technical expertise is the key strategic issue
 - When products/services are changing rapidly
 - When there is a scarcity of technical expertise

Networked, Empowered, Cluster fluid grouping

- One large self-contained group with all the human, capital and material resources to run the own business. Teams form and disband in response to customer needs, organizational needs or new opportunities.
- Sometimes shared services like HR and Digital Media are cost centers, sometimes they have to sell their services to internal customers or are outsourced.
- Common in start-ups. Used in large organizations to introduce or maintain the entrepreneurial zeal of startups.
- Internal leveraged buy-outs are sometimes used to set this up. “Sell” the business to employees for current net worth. Instead of budgets, the unit has a monthly loan payment to make.

grouping by clusters

- Strengths
 - encourages efficiency and innovation
 - highly adaptable and flexible
 - very innovative at developing new business opportunities
 - suited to many stand-alone businesses
 - When there is high equity position of employees, little control or other incentives needed

grouping by clusters

- Weaknesses
 - Does not seem to work with organizations much over 150 employees (Dunbar's number)
 - confusing for people used to working in more structured organizations
 - little diffusion of innovations across clusters
 - can lead to different clusters competing for the same clients
- Uses
 - When motivation and entrepreneurship of employees is the key strategic issue
 - when it is possible to maintain small independent business units
 - when there is a high need for flexibility and continuous adaptation

Contingencies Influencing Org Design

In understanding the impact of the environment on organization design there are two controversies

1. Are organizations driven by environmental forces or by managerial choices?
2. Do organizational forms depend primarily on resource constraints or information uncertainty?

Integrating These Perspectives

- Lawrence & Dyer
 - The environment contains two types of uncertainty:

1. Information Complexity

- The rate of change in the environment (technical, political, competitive, customer preferences, social)
- Can we predict what will be happening in the relevant future?
- Do we know what to do?

2. Resource Scarcity

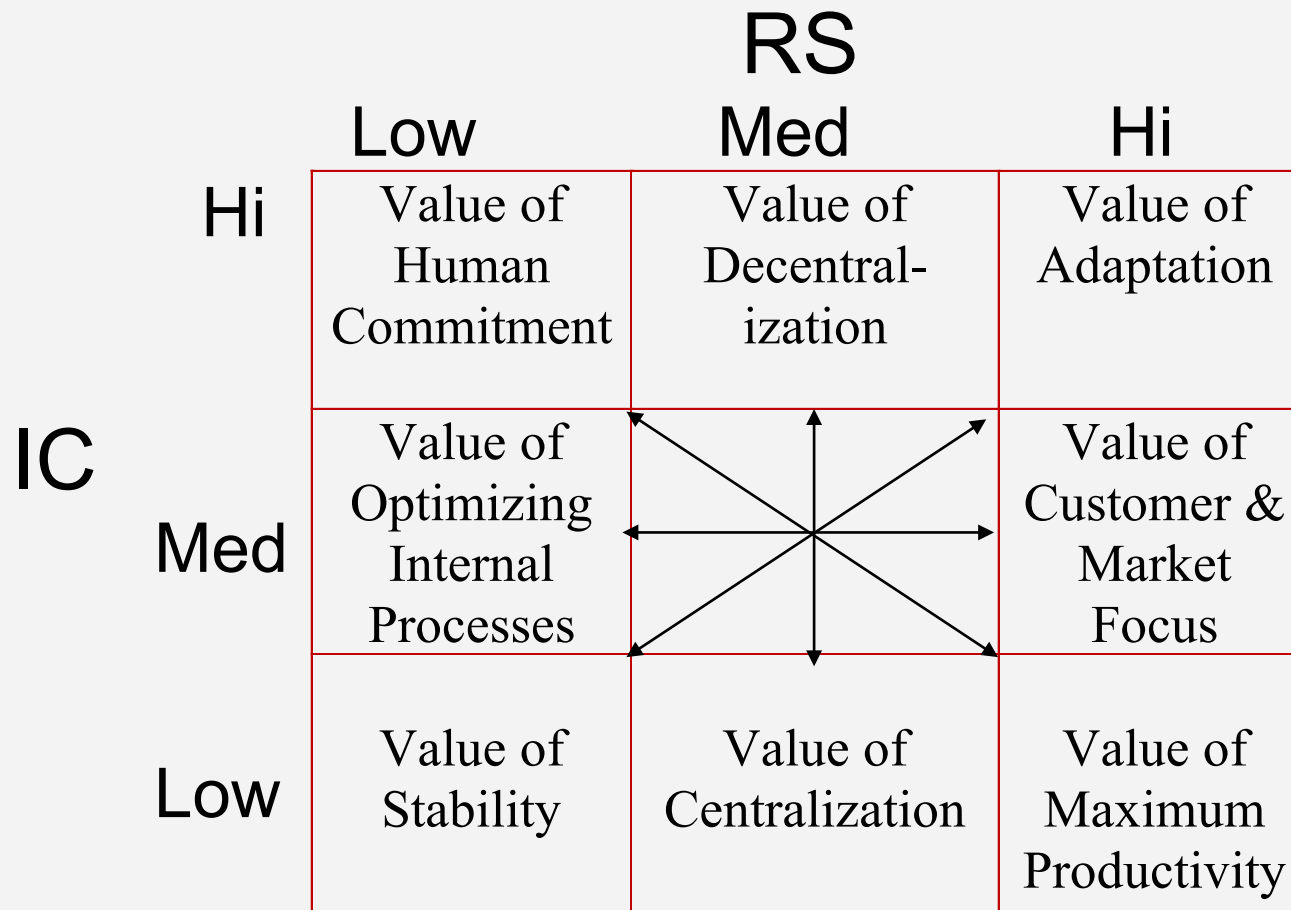
- availability or substitutability of resources (human, financial, material) necessary for the organization's functioning.
- Can we get what we need?

The Environmental Grid

		RS		
		Low	Med	Hi
IC	Hi	1	2	3
	Med	4	5	6
	Low	7	8	9

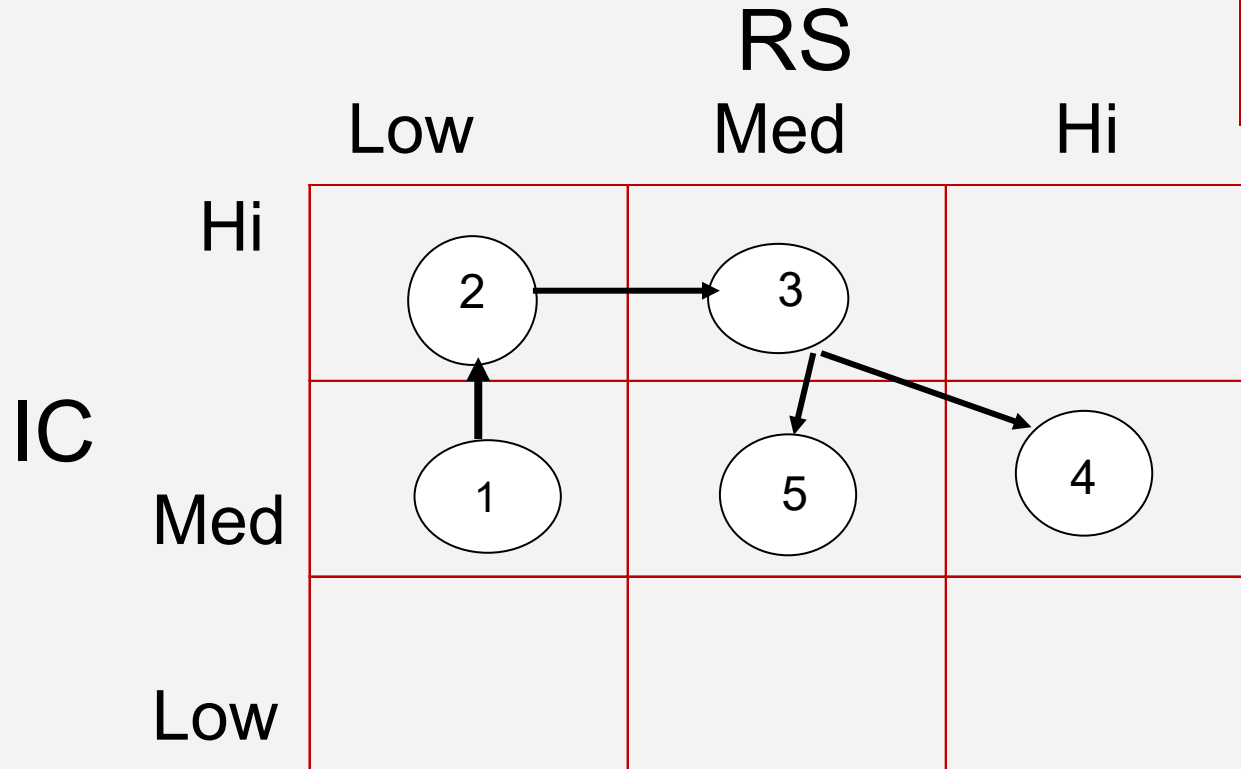
Lawrence
& Dyer

Applying the E-Grid to the Competing Values Model



Typical Path of Industries that Start From a New Technology

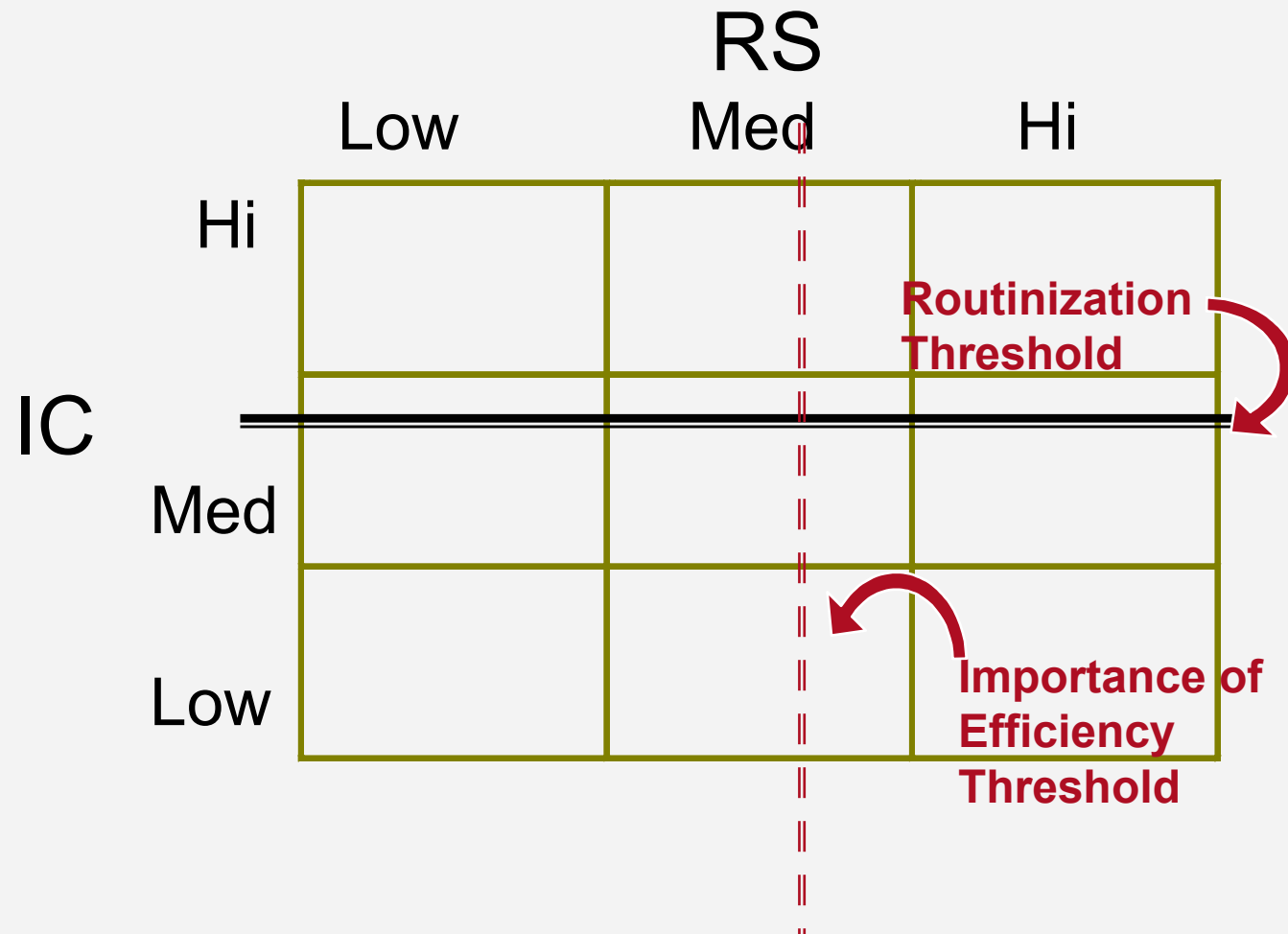
Lawrence & Dyer



Businesses create the environments they then must adapt to

1. New product/service with large market
2. As new entrants are attracted to the market, so is capital and RS is low, but IC is now increasing from competition
3. As even more entrants appear capital and people become scarcer. A shake out takes place
4. Some leave the shakeout wounded and struggling to get the resources they need. They don't flourish.
5. Those who land in an environment of medium RS and IC are in the must nurturing with pressure for both efficiency and innovation, but not too challenging. They become the most successful after the shakeout.

Environmental Effects on Design Considerations



Type of Work as a Design Contingency

- Examples of different businesses by type of work

Product	Service	Product & Service	Knowledge
Soft Drinks Computers Mining Software	Airlines Hotels Installation HR Firms	Fast-Food Cosmetics Stockbrokers Retail Stores	Ad Agencies Consulting Market Research Design Labs

Common effects of nature of work on organization design

	Nature of Work	Key success measures	Design Impacts
Product work	- Production of standardized outputs - Goods inventoried for later consumption - Technical core buffered from customers - Tangible outputs - Capital intensive	- Product return rate within defined/acceptable standards - Dimensions and tolerances within standard ranges - Product functions - reliable goods for price customer will pay - Aesthetics positive - Goods meet customer's requirements - Efficient use of organization's resources	- Tendency for routinization and standardization for coordination of strong interdependencies within production units - Tendency to reduce interdependencies with units outside of production - Tendency to produce bureaucratic culture - Tendency to tie power to hierarchy/roles
Service work	- Production of reliable transactions - Simultaneous production and consumption - Customer participation in technical core - Intangible output - Labour intensive	- Affordable to client - Correct, accurate - Improve or meet a specific need - Enjoyable for client - Customer satisfaction index - Customer complaint rate	- Tendency to design jobs for low interdependence - Tendency to routinize and standardize where possible to increase efficiencies - Tendency to encourage cross-unit interaction and knowledge sharing - Tendency to evolve cultures based on rewards or shared values - Tendency to vest power in service providers
Knowledge work	- Production of customized solutions - Goods can be inventoried and recycled or instantly consumed - Heavy customer involvement at front end of production - Tangible outputs - Knowledge intensive	- Benefits exceed cost - Innovative - Improve a situation or meet a unique need - Accurate - Thorough - Enjoyable for client - Client improves its productivity, quality, costs, benefits to its customers	- Tendency to use mutual adjustment for coordination - Tendency to create multi-functional teams for specific projects - Tendency to utilize strong shared value cultures - Tendency to allow power to emerge, usually a function of expertise and demonstrated results
Sales Work	- Production of consumption - Nature of customer participation depends on nature of what is being sold - Tangible outputs - Labour and knowledge intensive	- All potential markets are identified and reached - Sales process positive from customer's perspective - Customer repeat and referral rate - Attract and retain customers	- Tendency to design low interdependence into jobs - Tendency to group sales function as a unit - Tendency to utilize cultures of reward - Tendency to tie formal power to hierarchy and informal power to demonstrated results

PMC - Sierra

For class, be prepared to discuss the following questions

- What is the operating core of PMC?
 - What are parts of the Technostructure and Support Staff?
 - What is the relative size of the middle line?
 - What coordinating mechanism(s) is used in production
 - What kind of unit grouping?
 - What are the key contingencies that should influence their organization design?
- Create a new organization design that will serve PMC as it grows